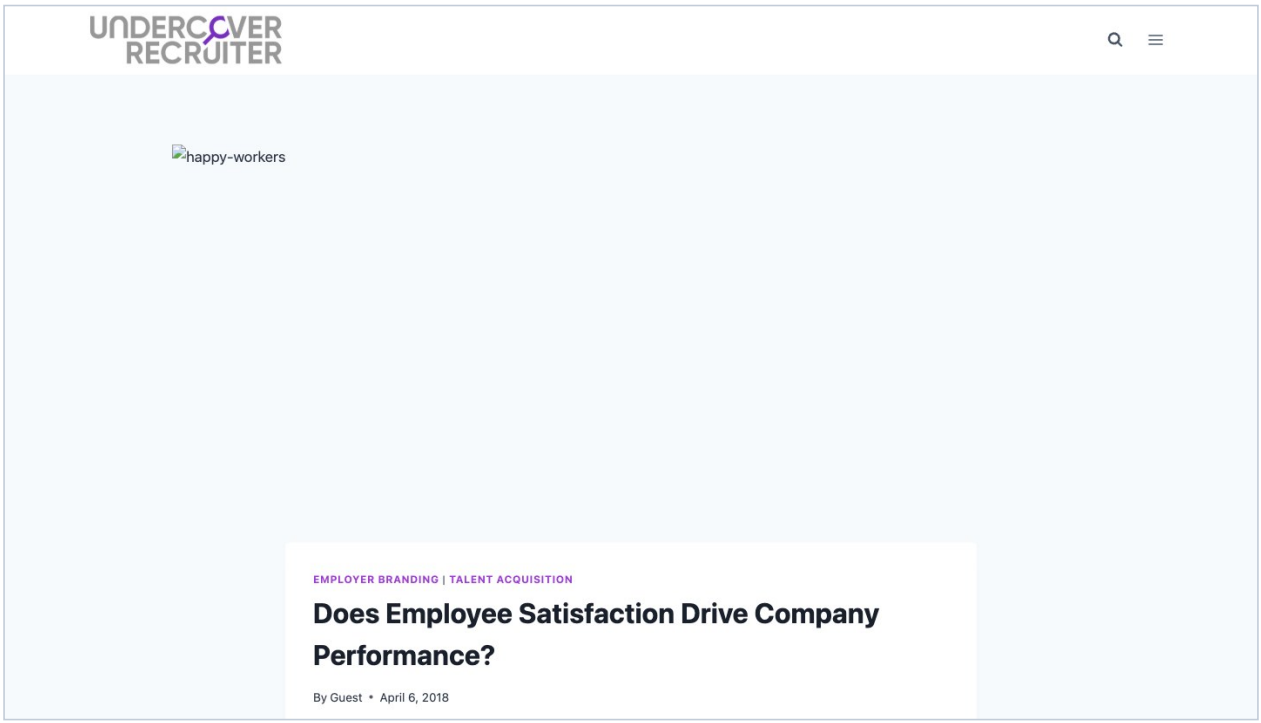
The Undercover Recruiter

«Does Employee Satisfaction Drive Company Performance?»

6 April 2018 · English · By Andrew Chamberlain (Glassdoor), guest post. Not named; reports the study.

https://theundercoverrecruiter.com/employee-satisfaction-drive-company-performance/

Research. Symitsi, E., Stamolampros, P., Daskalakis, G. and Korfiatis, N. (2018). Employee Satisfaction and Corporate Performance in the UK. Study commissioned by Glassdoor, presented at Glassdoor's Best Places to Work, London, 29 March 2018.



This is also the first study to examine the link between employee satisfaction and financial performance for both privately held companies and publicly traded employers. Unlike in the U.S., financial data are available for many private companies in the UK, allowing researchers to confirm past results for public companies also hold among private firms.

The study is based on Glassdoor data for all available employer reviews for employees of UK firms between 2014 and 2017. For their analysis, the authors used only companies with at least 100 reviews in the four-year period considered. Their final sample includes 35,231 Glassdoor reviews for 164 UK employers.

The authors argue their findings suggest employees in today's companies are an important resource – not simply a homogeneous cost of production. In their words, "Our results support the human-centred view of the firm as we find a significant positive relationship between employee satisfaction and firm profitability."

About the author: Andrew Chamberlain is the Chief Economist at Glassdoor. He's an applied labor economist specializing in the econometrics and data science of online review platforms, with a focus on developing insights about hiring processes, job search behavior, wage determination, and the microeconomics of employee satisfaction and company culture.